

bets, the results are predictably pathetic. Here are some salient observations about the Kelly Formula.

Because the formula suggests the maximum bet we ought to make, it optimizes the time it takes a bettor to reach our wealth goals. No other approach can get you there faster without increasing the odds of a total wipeout. If you *overbet* what Kelly suggests, it is all but assured that with enough repeated bets, you will end up with nothing.

Using the Kelly Formula may lead to relatively high volatility. The formula optimizes just one variable—the maximization of wealth in the least amount of time. It is agnostic on volatility. Volatility can be tamed by underbetting the Kelly Formula maximum—but this comes at a price of suboptimal capital allocation.

In the real world of portfolio management, an investment manager may have eight noncorrelated favorable bets available simultaneously. Let's say the Kelly Formula suggests betting the following percentage of your bankroll on each bet ([Table 10.2](#)).

Since the manager can only invest 100 percent of an unlevered portfolio, the allocations he or she might make are shown in [Table 10.3](#).

This looks pretty similar to the allocations Munger and Buffett likely have done historically when they were running their partnerships. It is also similar to the allocations Joel Greenblatt and Eddie Lampert do today. For Greenblatt, typically 80 percent of his assets have always been invested in five of his best ideas. In [Table 10.3](#), the top five bets make up 77 percent of the portfolio.

The allocations in [Table 10.3](#) go a long way toward handling the volatility problem. These bets are significantly below the Kelly maximum. Because they are heavily noncorrelated, the underlying volatility is likely to be significantly tempered—especially if we look at it year over year. The Buffett Partnership has never had a down year, in spite of placing large Kelly-type bets. As far as I know, neither has Greenblatt or Lampert. All three have always placed few, big, and infrequent bets—and won big *without* high volatility.